CORDAGE GROUP

stonegate PUB COMPANY

Demeter One Portfolio

Route to £25m Annual Divestment Programme

Summary

This paper sets out a clear, repeatable route for delivering an annual c.£25m divestment programme from the 308-site Demeter One portfolio. It defines the two complementary value streams available to a purchaser and demonstrates, using the portfolio's evidenced planning and financial analysis, that a sustainable pipeline exists to support a multi-year disposal strategy.

A balanced approach is recommended: targeted value-creation disposals, prioritising Green and Amber sites for near-term realisation while positioning Red (Financial) sites for future phases (as planning policy and operational performance evolves), combined with predictable trading-led sales of sites.

Portfolio Opportunity

The portfolio contains 110 Green/Amber sites with £36.0m in near-term Higher Alternative Use Value (HAUV). Most value derives from 90 part-site opportunities, totalling £26.3m and offering consistent pipeline depth for annual programmes. Beyond immediate opportunities, the portfolio contains £40.5m of longer-term potential within Red (Financial) sites, which are planning-viable but not currently higher in value than pub trading. Over time, policy changes, boundary shifts, and operational changes may unlock significant additional value

BAU Optimisation

Business-as-Usual (BAU) divestments are supported by a deep and dependable buyer pool, providing a high degree of certainty of execution year-on-year. Typical purchasers include sitting publicans seeking to acquire the freehold of their existing operation, individual private investors attracted to stable, income-producing hospitality assets, and local entrepreneurs or small pub operators looking to expand their portfolios. We are confident that this market can continue to deliver strong EBITDA multiples, circa 15x, which Stonegate Group has consistently achieved post-Covid-19 (FY 2024 onwards), with current FY 2026 divestment approvals tracking at this level. This established and easily identifiable market of motivated buyers enables you to confidently and consistently deliver a defined level of divestment activity each year.

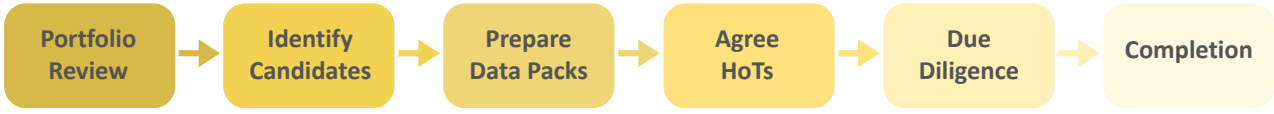
Dual Route to Value

Value-Creation Divestments

Planning-uplift and land-release opportunities generating value through planning. Stage-2 board paper analysis shows strong alignment with RAG estimates (variance 6.7%), confirming methodology robustness.

Site-Trading Divestments

This programme focuses on predictable, lower-risk disposals of trading pubs, delivering consistent annual value. It represents BAU portfolio optimisation activity, a structured and repeatable process that concentrates on releasing capital from non-core, underperforming, or non-strategic assets.



Conclusion

The Demeter portfolio contains a deep and clearly evidenced reservoir of value-creation potential. With £36m of near-term HAUV-based opportunity across 110 sites, and a further £40.5m of longer-term planning-viable upside, the estate can reliably support a structured £25m per-annum divestment programme. A balanced strategy combining predictable trading sales with targeted value-creation disposals ensures stable annual cashflow, maximises planning-led uplift, and preserves a multi-year runway of opportunities for any purchaser

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